

Market

Zerodha

case study

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Summary

- Zerodha, founded in 2010, is India's largest retail stockbroker with over 10 million clients
- Bootstrapped, profitable, and built through a product-led, trust-first philosophy
- Focus on reducing trading costs, improving UX, and democratizing access to capital markets
- Key achievements: ~20% NSE active retail participation, 0 VC funding, ₹2000+ Cr annual revenue

Key lesson: Solve for trust, not just features.

Growth Timeline



Problem Statement

Before vs After Zerodha" comparison table

- **Pre-Zerodha Market (2010):** High brokerage fees (₹300–₹1,000/trade), poor UX, limited retail access
- **User Pain Points:** Complexity, pricing opacity, poor platforms, zero education
- **Opportunity:**
 - High brokerage fees, legacy tech, poor transparency, and low financial literacy were barriers
 - No player addressed the modern, tech-savvy retail investor with intuitive digital tools
 - India's rising digital adoption + underpenetrated equity participation (<3% in 2010).

Attribute	Before Zerodha	After Zerodha
Brokerage	% commission, opaque	Flat Rs.20/order or free for equity delivery
Platform UX	Clunky desktop apps	Sleek web/mobile interface
Education	Minimal, Paid	Varsity - Free, gamified modules
Data access	Fragmented, paid	Real-time tools, Console insights

Competitive Landscape

Zerodha's Defensibility:

1. First-Mover Advantage:

- Invented India's discount broking model in 2010.
- Over a decade of tech compounding, user trust, and platform depth.

2. Product-Led Growth:

- No ads, no flashy campaigns — user love drives virality.
- Highly stable infrastructure + simple UI = sticky users.

3. Relentless Simplification:

- Focused roadmap, minimal distractions (no lending, crypto).
- Fewer features, but deeply useful (e.g., Nudge, GTT, Console)

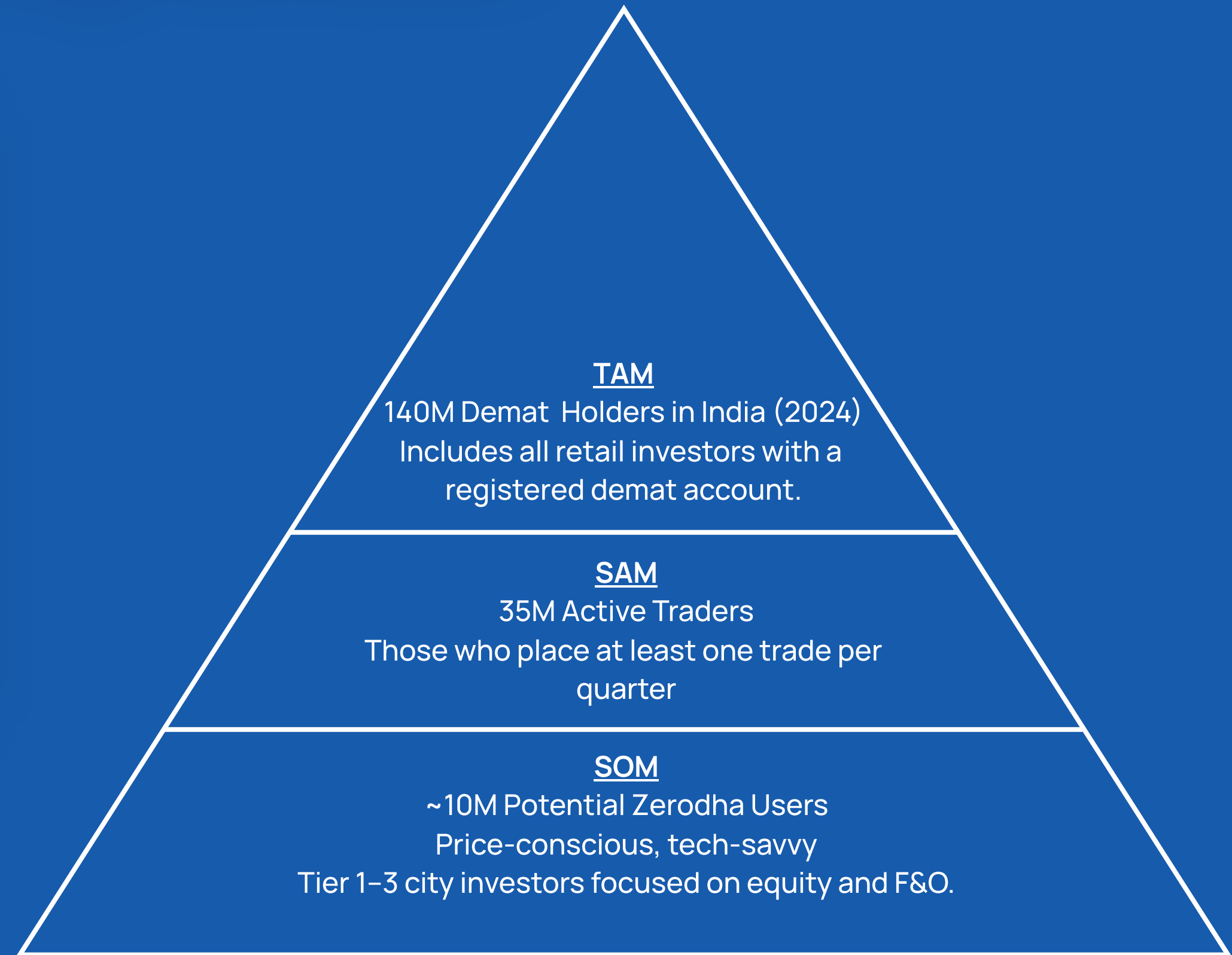
4. Sustainable Business Model:

- Profitable, no VC pressure — aligns better with long-term user trust.
- Pricing power with no hidden charges or cross-sells.

Player	Strengths	Weakness
Groww	Millennial UX, MF-first onboarding, fast growth	Less depth in trading tools, limited APIs
Upstox	Backed by Ratan Tata, aggressive marketing	Downtime issues, cluttered UI, thin loyalty
Angel One	Hybrid model (advisory + DIY), huge network	Higher pricing, legacy baggage
Fyers	Strong charting tools for active traders	Weak brand trust, limited ecosystem
Dhan	Sleek design, fast , TradingView integration, API focus	Still building user trust, small community, lacks profitability

Market Segmentation

- **TAM:** 150M+ potential Indian investors (total banked, digitally literate population)
- **SAM:** 40M+ active internet users with interest in trading/investing
- **SOM:** ~10M currently active retail traders on platforms like Zerodha, Upstox, Groww
- Focus on Tier 1 & 2 cities, digitally native users aged 20–45



Vision & Strategy

- **Product Vision:** Empower every Indian to confidently participate in capital markets

- **Strategy:**

1. Disrupt costs with a transparent model
2. Offer seamless UX with homegrown tech (Kite, Coin, Console)
3. Build financial literacy at scale (Varsity, Rainmatter)
4. Stick to a lean, bootstrap-first model

1. **Kite** - Sleek, fast, and minimal trading platform

- **Use case:** Equity/F&O trading

2. **Console** - Central dashboard for reports, analytics, and portfolio insights

- **Use case:** Portfolio tracking, tax P&L, and trade reports

3. **Coin** - Direct mutual fund investments, zero commissions

- **Use case:** Long-term investing

4. **Varsity** - Varsity – Free, comprehensive trading & investing education

- **Use case:** Learning platform for traders/investors

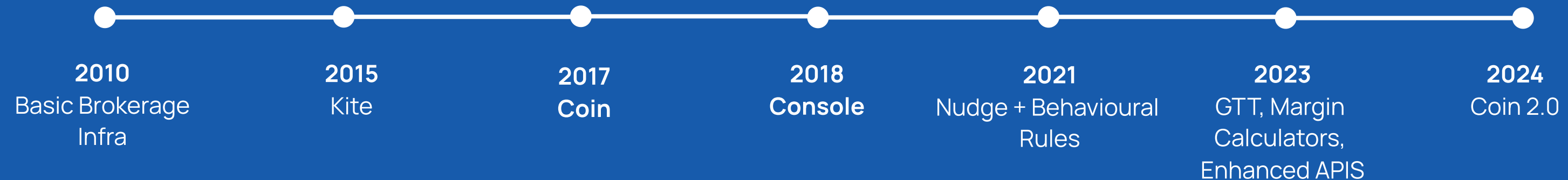
5. **Sentinel** - "Sentinel – Real-time market alerts (first-of-its-kind)"

- **Use case:** Smart market alerts (now integrated into Kite)

Feature Roadmap

- Feature rollout guided by user feedback + internal vision of simplicity
- **Early years:** low-cost infra & stable APIs
- **Mid-phase:** UX overhaul → Kite; investing tools → Coin
- **Recent:** Data intelligence (Console), Behavior change (Nudge)

Timeline



Metrics

Type	Name	Why it Matters
North Star	Number of Users Making Consistent, Informed Trades per Month	Reflects Zerodha's core mission to promote educated, long-term trading behavior.
L1 Metric	Monthly Active Traders (MAT) with ≥ 4 Trades/Month on Kite	Signals consistent engagement from serious users, key to Zerodha's target base
L2 Metric	Kite App DAU/MAU Ratio	Measures daily product stickiness and the habit-forming nature of the app
L2 Metric	SIP Retention Rate after 3rd Cycle on Coin	Indicates how well Zerodha retains mutual fund investors, aligned with its long-term investing vision
L1 Metric	% of Active Users Completing Full Trading Journey (Research $\rightarrow$ Order $\rightarrow$ Review)	Tracks holistic engagement across Kite (trade), Console (review), and Varsity/TradingQnA (research). Shows ecosystem depth, not just front-end usage.
L1 Metric	% of traders improving risk profile via Nudge	% of traders whose average position size or leverage ratio improved post-Nudge trigger

GTM Strategy

Key GTM Levers:

1. Community as Distribution:

- TradingQnA, Varsity, Z-Connect Blog = built-in education funnel.
- Converts learning into account openings → loyal users.

2. Behavioral Nudges:

- Risk warnings (penny stocks, options, margin).
- Helps users trade better, not more — builds trust and retention.

3. Word-of-Mouth Flywheel:

- Simple UX + transparent pricing → user advocacy.
- Flywheel effect: power users refer others → zero CAC.

4. Frictionless Onboarding:

- Fully digital KYC and instant account setup.
- No advisor push or paperwork = millennial-friendly.

5. Platform Ecosystem:

- Tools like Kite Connect, Coin, Smallcase (via partners).
- Converts Zerodha into a financial operating system, not just a broker.

Zero Marketing, 100% Product-Led

Zerodha's growth defies traditional GTM playbooks. It scaled to **1.3 crore+ clients** (as of 2024) without ads, affiliate blitzes, or celebrity endorsements.

Result:

0 to 1.3+ crore users with **zero rupees in ad spend**.

35% of all retail trading volume in India (NSE, 2024).

CAC: Negligible.

LTV: Industry-best.